

# Investment thesis 1: AI is a hardware boom, and Asia owns the chokepoints

## Each market in our basket controls a bottleneck



### Taiwan: makes the chips

- HPC/AI 58% of TSMC revenue (2025); 3nm sold out through 2026
- TAIEX record 48,476 (2 Oct 2026), ~+67% YTD; TSMC >40% of the index

~70%

TSMC share of global foundry revenue (Q1 2026)



### Korea: makes the memory

- DRAM contract prices +45–50% q/q in Q2 2026; server DRAM still undersupplied
- KOSPI forward P/E 7.8x vs 23x trailing: earnings, not just multiples

83%

SK hynix (50%) + Samsung (33%) share of HBM revenue (Q2 2026)



### Japan: makes the tools

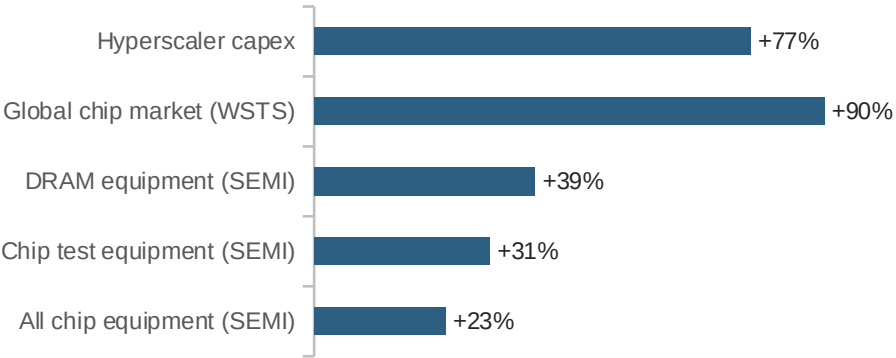
- Test equipment +31% and DRAM equipment +39% in 2026 (SEMI)
- Advantest + Tokyo Electron ≈ 20% of the Nikkei 225; forward P/E 17.2x

~55%

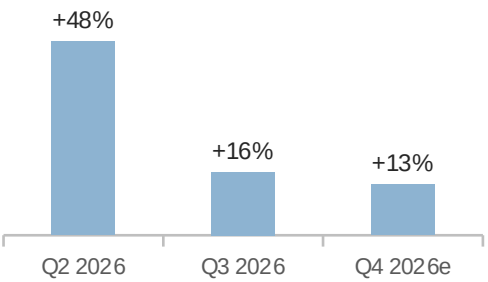
Advantest share of chip test equipment

## Demand is surging, but the cycle is maturing

2026 growth vs 2025 (forecast / guidance)



DRAM contract price, q/q



### Cycle check

- Memory prices still rising, but gains slowing (midpoints of TrendForce ranges)
- US 25% tariff on some advanced chips since Jan 2026 (Section 232)
- **Leads straight to thesis 2: own it with protection**

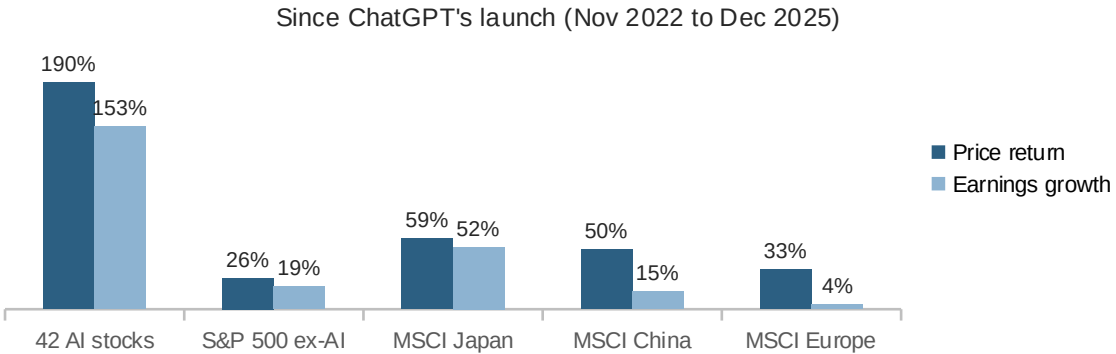
Sources: Counterpoint (foundry, HBM); TSMC; Trading Economics / TWSE (TAIEX, 2025 close 28,963.6); TrendForce (DRAM); Sibilis Research (P/E, 1 Jul 2026); SEMI (14 Jul 2026); WSTS (Jun 2026); company capex guidance; Nikkei; White House Proclamation 11002. Full list in appendix.

We buy the picks and shovels: whichever AI model wins, it needs Taiwan's chips, Korea's memory and Japan's tools.

# J.P. Morgan's 2026 Outlook: the AI moat is real, and so are its cracks

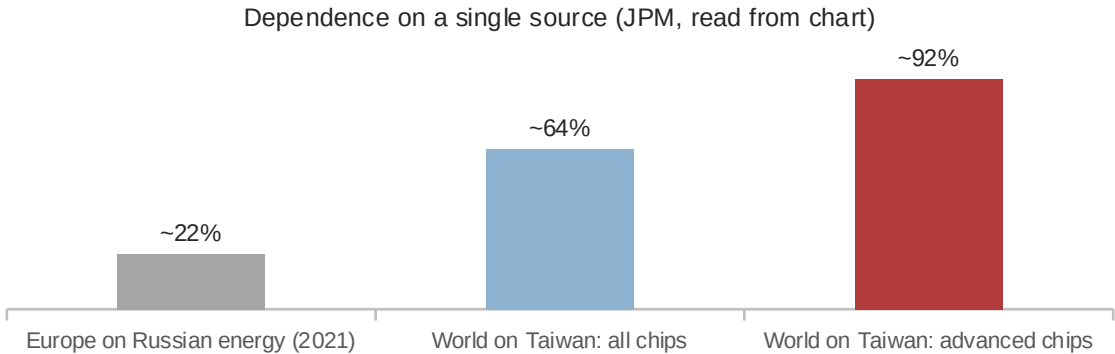
"Smothering Heights: is the largest moat in market history indestructible?" (M. Cembalest, J.P. Morgan Asset & Wealth Management, 1 Jan 2026)

## The theme is the market



|                         |                                                                                        |
|-------------------------|----------------------------------------------------------------------------------------|
| <b>\$3trn → \$18trn</b> | Market cap of 4 hyperscalers + NVIDIA, TSMC, ASML, AMD in ~7 years: ~20% of MSCI World |
| <b>65–75%</b>           | Share of S&P 500 returns, profits and capex since Nov 2022 from 42 AI-linked stocks    |
| <b>8 of 10</b>          | Of the world's 10 largest companies depend heavily on TSMC supply                      |

## ...but the moat has cracks



|                   |                                                                                                                             |
|-------------------|-----------------------------------------------------------------------------------------------------------------------------|
| <b>10–11 days</b> | Taiwan's gas storage; LNG is 40% of its power and 90% of energy is imported: "the most blockade-sensitive advanced economy" |
| <b>\$1.3trn</b>   | Hyperscaler capex + R&D since 2022: risk of a "Metaverse moment" (Mag 7 fell 50% in 2022)                                   |
| <b>–10–15%</b>    | JPM's base case: a correction at some point in 2026, then markets end the year higher                                       |

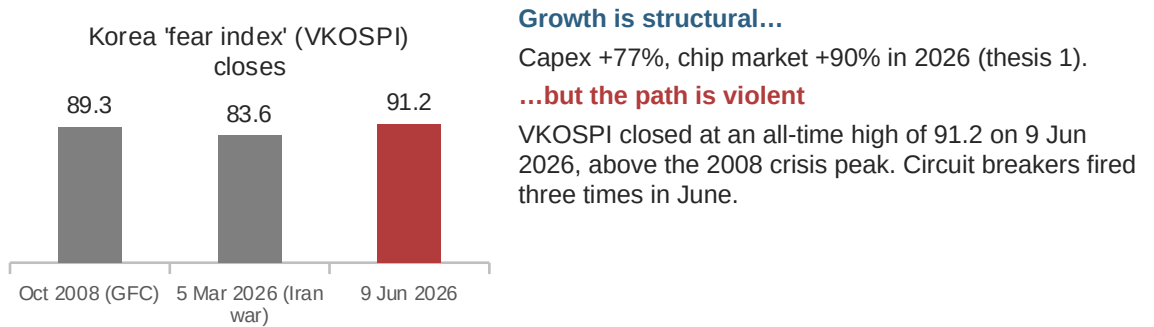
Source: J.P. Morgan Asset & Wealth Management, Eye on the Market, 2026 Outlook "Smothering Heights" (M. Cembalest, 1 Jan 2026), pp. 1–2, 7, 33–35, 46; underlying data Bloomberg, USITC, BP, ROC Taiwan, Global Guardian. Reliance values read from JPM's chart (approximate).

Same conclusion as ours: stay in the AI-hardware theme, but not unprotected. Our note keeps the upside path and removes the capital risk.

# Investment thesis 2: Own the AI-hardware theme through a protected autocall

## Economic aspect: why this theme needs protection

Structural growth, but a violent, concentrated and late-cycle path



1

-25%

**Round trips happen fast**  
KOSPI hit 9,000+ in June (~+110% YTD), then 6,789 on 28 Aug: about -25% in ten weeks. J.P. Morgan's 2026 base case includes a 10–15% correction.

2

>40%

**Returns hinge on a few names**  
TSMC is >40% of the TAIEX, and ~92% of advanced chips are made in Taiwan, which J.P. Morgan calls the most blockade-sensitive advanced economy.

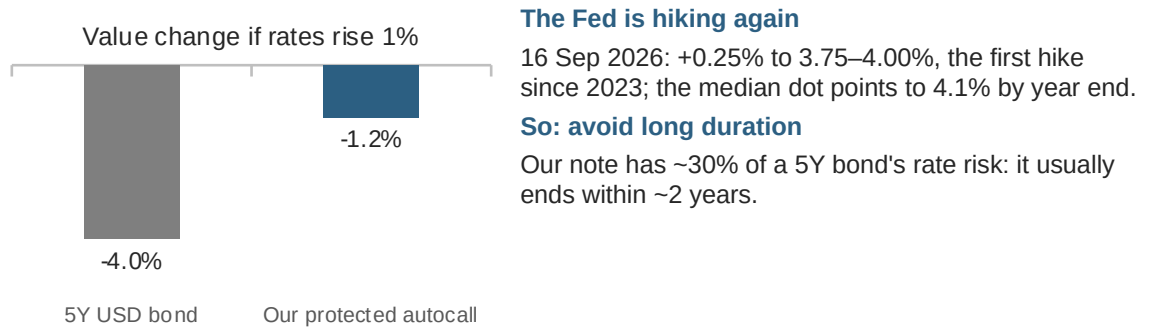
3

¥20trn

**Reforms support a recovery to 100%**  
Record Japanese buybacks (~¥20trn FY2025 forecast) and Korea's Value-up programme help the basket get back to its start, which is all the coupon needs.

## Finance aspect: why an autocall with protection

Rates are high and rising; volatility is at records. Both favour this structure



1

75.8%

**High rates make protection cheap**  
At 5.69% 5Y funding, USD 100 at year 5 costs USD 75.8 today; early calls lower it to 89.9% in our note.

2

8.2%

**Rising rates pay off at the roll**  
51% of notes are called at year 1. If rates are 1% higher by then, a new note would pay ~8.2%.

3

7.7%

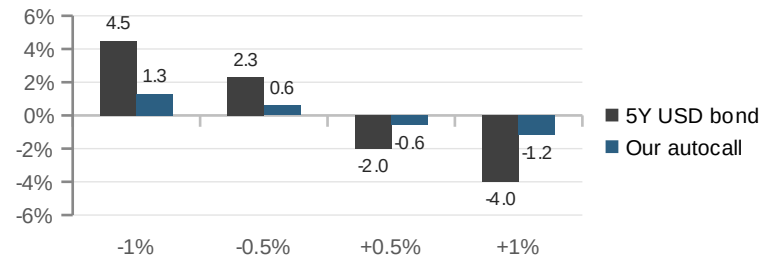
**Record volatility funds the coupon**  
Fair coupon 7.2% at our vol inputs, 7.7% with 5pts more vol. 2026's record vols make our 6.75% conservative.

Sources: Herald / SBS / FN News (VKOSPI); FN News and Shinhan (KOSPI 28 Aug); TWSE, Korea Times, Bloomberg/BNN (2022); Trading Economics, Nikkei Asia (weights); Sibilis (valuations); J.P. Morgan 2026 Outlook; Asset Management One (buybacks); Federal Reserve via Advisor Perspectives (16 Sep 2026); case funding grid; team Monte Carlo.

# Investment thesis 2: Traditional strategies fall short; a protected autocall fits 2026

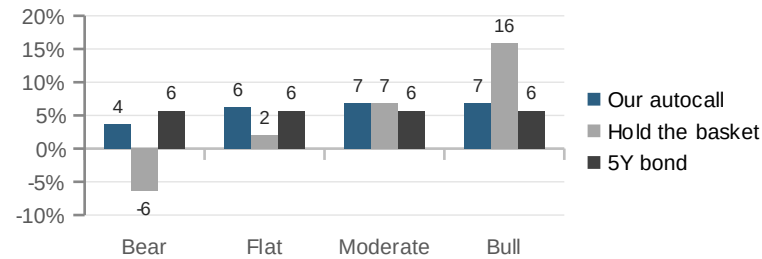
Rising rates, record volatility and a late-cycle chip boom: the conditions where an autocall beats bonds, stocks and plain protected notes

## Rates are rising: bonds carry the duration risk



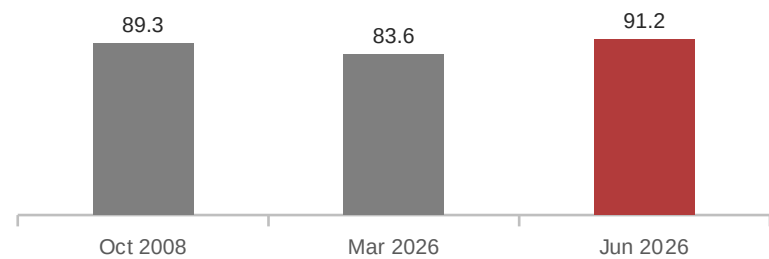
Value change for a parallel rate move. The Fed hiked to 3.75–4.00% on 16 Sep 2026 (first hike since 2023), with another expected.

## The autocall wins in most markets



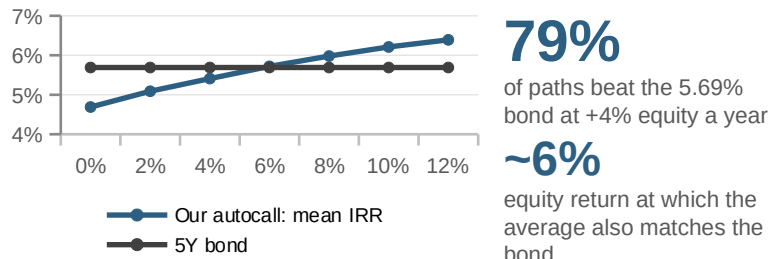
Mean return % p.a. by type of 5-year market (team simulation, equities +4% p.a.). Ties the stocks in moderate markets, beats them in bear and flat ones.

## Volatility is at records: protection is needed



VKOSPI closing peaks: 2026 beat the 2008 crisis. KOSPI then fell ~25% (9,000+ in June to 6,789 on 28 Aug).

## Beats the bond in about 4 of 5 outcomes



x-axis: average annual equity return. The note beats the bond in every path where it is called; the bond wins only if the basket never recovers.

## Implications

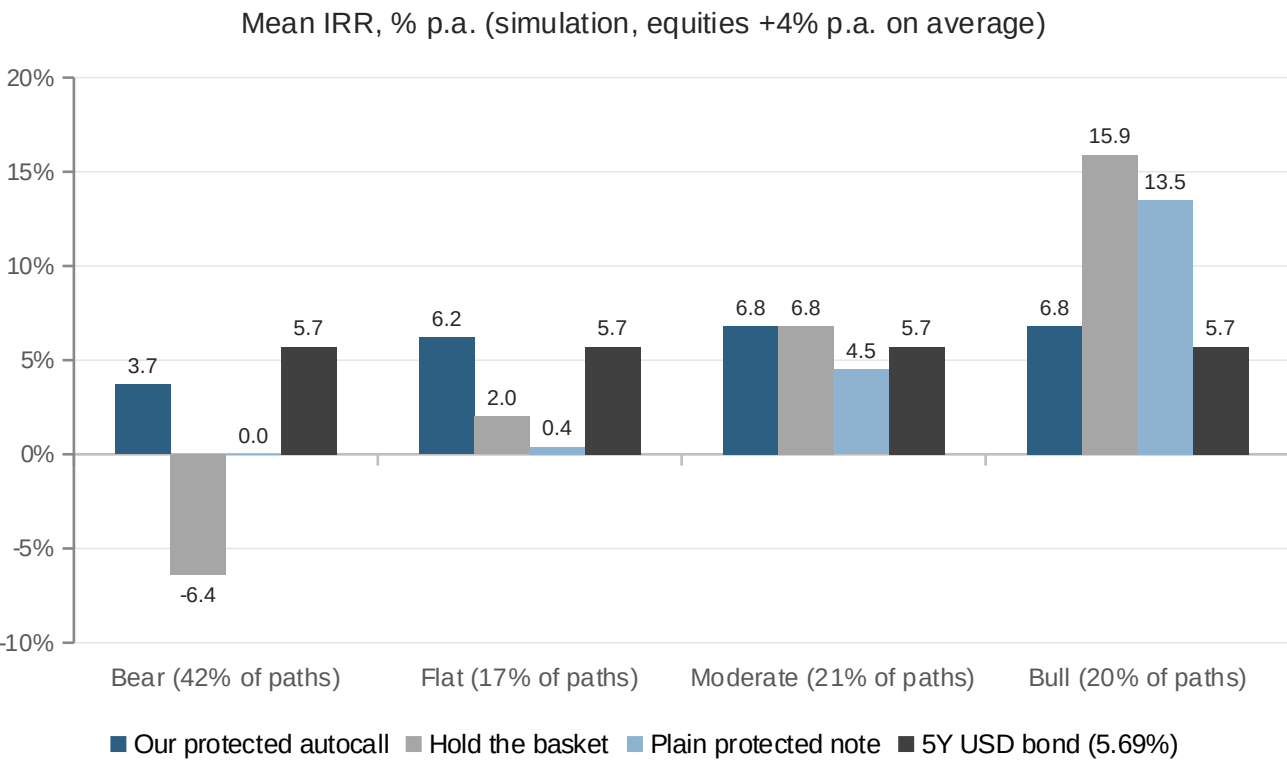
- 1 Low rate risk:** Loses 1.2% if rates rise 1%, vs 4.0% for a 5Y bond
- 2 Rising rates help at the roll:** 51% called at year 1; a new note would then pay ~8.2% if rates are 1% higher
- 3 Volatility becomes income:** Fair coupon 7.2%, 7.7% with 5pts more vol: our 6.75% is conservative
- 4 Pays without a rally:** 6.2% p.a. vs 2.0% for the stocks when the basket goes sideways
- 5 Proven in Asia:** Taiwan structured-note issuance +81% in 2025; snowball autocalls the favourite payoff (SRP)

**Result: 6.75% a year whenever the basket is back at its start, 100% of capital at maturity, a third of a bond's rate risk.**

Sources: Federal Reserve via Advisor Perspectives (16 Sep 2026); Herald / SBS (VKOSPI); FN News / Shinhan (KOSPI); StructuredRetailProducts.com; team Monte Carlo (scenario2\_thesis\_numbers.py, scenario2\_vs\_traditional.py).

# Thesis 2 evidence: the protected autocall beats the usual ways to own this theme

Average annual return by type of market (5 years)



Same 100,000 paths, summary

| Strategy               | Mean | Median | Loss risk | Worst 5% |
|------------------------|------|--------|-----------|----------|
| Our protected autocall | 5.4% | 6.8%   | 0%        | 0.0%     |
| Hold the basket        | 2.3% | 1.9%   | 42%       | -12.4%   |
| Plain protected note   | 3.7% | 0.0%   | 0%        | 0.0%     |
| 5Y USD bond (5.69%)    | 5.7% | 5.7%   | 0%        | 5.7%     |

### Why it works

- Pays in sideways markets: 6.2% vs 2.0% for the stocks when the basket goes nowhere
- Volatility raises the chance of touching 100%, so it funds the coupon instead of hurting the family
- Market evidence: Taiwan structured-note issuance +81% in 2025, snowball autocalls the favourite payoff (SRP)
- Honest caveat: a 5Y bond earns more in bear markets, but gives no AI exposure

Our Monte Carlo (pricing/scenario2\_vs\_traditional.py): TAIEX 40% / KOSPI 200 30% / Nikkei 225 30%, real-world equity drift 4% p.a.; protected note participation 101%. Market regime = basket's own 5Y annualised total return. Early-called notes are not assumed to be reinvested. SRP = StructuredRetailProducts.com.

Best way to own the theme: equals or beats the stocks in 3 of 4 markets, beats a plain protected note in 3 of 4, and never loses capital.

# Appendix: sources for the investment thesis

| Fact used                                                                                                                       | Source                                                                            |
|---------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| TSMC ~70–73% of global foundry revenue (Q1 2026); HPC 58% of 2025 revenue; 3nm sold out through 2026                            | Counterpoint via press; TSMC results (verify in TSMC quarterly reports)           |
| TSMC >40% of TAIEX; TAIEX record 48,476 on 2 Oct 2026 (~+67% vs 2025 close 28,963.6)                                            | Trading Economics (Jul, Oct 2026); TWSE 2025 Market Highlights                    |
| HBM revenue share Q2 2026: SK hynix 50%, Samsung 33%, Micron 18%                                                                | Counterpoint Research, Global DRAM and HBM Market Share                           |
| DRAM contract prices: Q2 2026 +45–50% q/q (consumer), Q3 +13–18%, Q4e +10–15% (conventional)                                    | TrendForce via press (May–Sep 2026)                                               |
| Advantest ~55–58% of test equipment; TEL ~90% of coater/developers; Advantest 12.2% of Nikkei 225                               | Industry research summaries (verify in annual reports); Nikkei Asia               |
| KOSPI forward P/E 7.8x, trailing 23.0x; Nikkei forward 17.2x, CAPE 38.6 (1 Jul 2026)                                            | Siblis Research                                                                   |
| Hyperscaler capex ~USD 725bn in 2026, +77% y/y                                                                                  | Company guidance after Q1 2026, via AI Weekly / Yahoo Finance                     |
| Chip market ~USD 1.5trn in 2026 (+90%); equipment USD 165.9bn (+23.2%), DRAM equip. +39%, test +31%                             | WSTS Spring 2026 (2 Jun 2026); SEMI mid-year forecast (14 Jul 2026)               |
| US 25% Section 232 tariff on a narrow set of advanced logic chips from 15 Jan 2026                                              | White House Proclamation 11002, via Perkins Coie / Mondaq                         |
| Fed +0.25% to 3.75–4.00% on 16 Sep 2026, first hike since 2023; median dot 4.1% end-2026                                        | Federal Reserve decision, via Advisor Perspectives                                |
| VKOSPI record close 91.23 (9 Jun 2026), above Oct 2008 (89.30); 83.58 on 5 Mar 2026                                             | Herald Corp; SBS; FN News (Jun 2026)                                              |
| KOSPI 9,000+ in June (~+110% YTD), 6,789 on 28 Aug 2026                                                                         | BIT Research; FN News / Shinhan Securities (31 Aug 2026)                          |
| 2022: TAIEX –31.6% peak to trough; KOSPI –24.9%; SOX –36%                                                                       | TWSE 2022 Market Highlights; Korea Times; Bloomberg via BNN                       |
| Japan buybacks ¥18.7trn FY2024, ~¥20trn FY2025e; Korea Value-Up Index +30% vs KOSPI 200                                         | Asset Management One via portfolio institutional; AllianceBernstein               |
| 42 AI stocks = 65–75% of S&P 500 returns/profits/capex; ~92% of advanced chips from Taiwan; 10–15% correction in 2026 base case | J.P. Morgan AWM, Eye on the Market 2026 Outlook "Smothering Heights" (1 Jan 2026) |
| Taiwan structured notes 2025: ~75,900 products, +81%; snowball autocalls favoured                                               | StructuredRetailProducts.com, Taiwan Q4 2025 review                               |
| Rate and vol sensitivities, break-even vs bond, market-type comparison                                                          | Team Monte Carlo: scenario2_thesis_numbers.py, scenario2_vs_traditional.py        |

Several figures are forecasts or third-party estimates; numbers marked 'verify' come from a single secondary source. Full URLs: [deck/thesis\\_sources.md](#).